

26VECV00459 26VECV00459

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Case Number: 26VECV00459 Hearing Date: June 25, 2026 Dept: B

Tentative Ruling

Santoro v. Anderson, Case no. 26VECV00459

Hearing date June 25, 2026

Defendant

Anderson's Demurrer to the Fourth Amended Complaint with Motion to Strike

Plaintiff

Santoro sues defendants Anderson, Valencia Naturals, Inc., Natural Life Laboratories and Concept Naturals, Inc. for breach of contract – settlement agreement, breach of contract – asset purchase agreement, breach of the implied covenant of good faith and fair dealing – asset purchase agreement and declaratory relief.

Plaintiff,

shareholder in the corporate defendants, alleges he entered into a settlement agreement with the corporation which Anderson, also a shareholder, allegedly breached.

Anderson demurs to the first and third causes of action and moves to strike.

Plaintiff opposes.

Anderson

requests judicial notice of the asset purchase agreement, attached to the 4AC as exh. B. GRANTED pursuant to Evid. Code §452(d).

Defendant Anderson's Demurrer to the Fourth Amended
Complaint

“The

function of a demurrer is to test the sufficiency of the complaint as a matter of law.” *Holiday Matinee, Inc. v. Rambus, Inc.* (2004) 118 Cal.App.4th 1413, 1420. A complaint “is sufficient if it alleges ultimate rather than evidentiary facts,” *Doe v. City of Los Angeles* (2007) 42 Cal.4th 531, 550, but plaintiff must allege essential facts “with reasonable precision and with particularity sufficient to acquaint [the] defendant with the nature, source and extent” of the plaintiff’s claim. *Doheny Park Terrace Homeowners Ass’n., Inc. v. Truck Ins. Exchange* (2005) 132 Cal.App.4th 1076, 1099.

Anderson

demurs to the first cause of action for breach of contract – settlement agreement. Per Code Civ. Proc. §425.10, where recovery of money damages is demanded, the complaint must state the amount demanded. See Code Civ. Proc. §425.10. “Procedural due process requires ‘that a defendant be given notice of the existence of a lawsuit and notice of the specific relief which is sought... a defendant who has been served with a lawsuit has the right, in view of the relief which the complainant is seeking from him, to decide not to appear and defend. However, a defendant is not in a position to make such a decision if he or she has not been given full notice.” *Yu v. Liberty Surplus Ins. Corp.* (2018) 30 Cal.App.5th 1024, 1031.

Plaintiff

alleged Anderson breached the confidentiality clause by telling his former spouse and staff about the issues. 4AC, paras. 9-10. Plaintiff alleged “damages well in excess of the jurisdictional minimum of this court to be determined at the time of adjudication of this matter” and prayed for compensatory damages, without alleging any specific amount. *Id.* at para. 30; Prayer 1, para. 1.

Plaintiff

argues the allegation that he suffered damages in excess of the jurisdictional minimum is sufficient, citing *Acree v. General Motors Acceptance Corp.* (2001) 92 Cal.App.4th 385, 398 for the premise that “[w]here the fact of damages is certain, as here, the amount of damages need not be calculated with absolute certainty. The law requires only that some reasonable basis of computation be used, and the result can be a reasonable approximation.” This is contrary to law.

Yu, supra, held a prayer for compensatory damages according to proof without an actual amount demanded was insufficient under Code Civ. Proc. §425.10. Schwab v. Rondel Homes (1991) 53 Cal.3d 428, 434 held mere allegations of minimum jurisdiction amount were insufficient to satisfy notice requirement of §425.10. Acree, supra, states at least an approximate amount must be pled. Id. at 398. Conclusory, open-ended allegations that damages sought exceed the jurisdictional minimum are insufficient. SUSTAINED with 15 days leave to amend.

Anderson

demurs to the cause of action for breach of implied covenant of good faith and fair dealing. "Allegations that a breach was wrongful, in bad faith, arbitrary, and unfair are unavailing; there is no tort of 'bad faith breach' of [a] contract." Guz v. Bechtel National, Inc. (2000) 24 Cal.4th 317, 352. To state a claim for breach of the implied covenant of good faith and fair dealing, plaintiff must allege defendant's wrongful conduct was contrary to the contract's purpose and the parties' expectations. Cordoba Corp. v. City of Industry (2023) 87 Cal.App.5th 145, 156.

Plaintiff

alleges Anderson purposefully frustrated the asset purchase agreement, which stated defendant would transfer ownership and title to a Lamborghini to plaintiff to cover a portion of monies owed. 4AC, paras. 16-17, RJN 1. Plaintiff alleges Anderson purposefully set the sale price of the car too high, causing delay in sale. 4AC, para. 17. Plaintiff alleges the car was sold for less than what Anderson owed, and Anderson failed to make up the shortfall. 4AC, paras. 17-21. Plaintiff alleges Anderson failed to make credit card payments, as required by the agreement. 4AC, paras. 21-24. Plaintiff asserts these violations as the basis for the third cause of action. 4AC, para. 39.

Anderson

argues allegations regarding the timing of the car sale and the final sales price cannot form the basis of the third cause of action, as the language of the agreement controls. See Qualcomm, Inc. v. Certain Underwriters at Lloyd's, London (2008) 161 Cal.App.4th 184, 191. Section 3.C of the agreement states: "[Plaintiff] agrees to collaborate with [Anderson] with respect to the sales price at which the Vehicle is to be sold... In the event [plaintiff] sells the vehicle in a transaction not approved by [Anderson], the Shortfall Payment... shall not be owed by [Anderson] to [Plaintiff]." RJN 1,

section 3.C.

Plaintiff

alleges: (1) Anderson insisted on a list price of \$279,500 and \$259,000, above the sale price of \$195,000; (2) the vehicle did not sell for six months; and (3) Anderson only agreed to \$195,000 if the sale was credited at a price of \$202,500 for purposes of the "Shortfall Payment." See 4AC, paras. 16-17, 39. Plaintiff's argument that Anderson's sale price was unreasonable or his conduct prolonged the sale, frustrating plaintiff's receipt of the proceeds, is unavailing. The purchase agreement states Anderson could set the sales price. The timing of the sale, as well as the price at which it sold, cannot form the basis of a breach of the covenant of good faith claim.

Anderson

argues the remaining allegations supporting the third cause of action are duplicative of the breach of contract claim or are superfluous. Plaintiff alleges Anderson failed to make the credit card payments, as required by the agreement. 4AC, paras. 21, 39. This is a merely an allegation that Anderson breached the underlying agreement and is duplicative of the second cause of action.

Plaintiff

alleges Anderson had liquid funds with which to pay plaintiff but failed to do so, with intent of harming plaintiff's business. 4AC, paras. 22-24, 39. The alleged motive of a breaching party is irrelevant under contract law. See *Applied Equipment Corp. v. Litton Saudi Arabia Ltd.* (1994) 7 Cal.4th 503, 516. Plaintiff's allegations that Anderson failed to pay are allegations sounding in breach of contract. Plaintiff failed to allege actionable facts which give rise to a claim for breach of the covenant of good faith and fair dealing, rather than merely breach of the agreement. SUSTAINED with 15 days leave to amend.

Defendant Anderson's Motion to Strike

The

court sustained Anderson's demurrer to plaintiff's first and third causes of action with 15 days leave to amend. The motion to strike targets allegations incorporated into these causes of action, as well as prayers for relief arising therefrom. The motion to strike is MOOT.